

RESEARCH REVIEW

COGNITIVE DISSONANCE BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Cognitive dissonance can cause investors to hold losing securities positions that they otherwise would sell because they want to avoid the mental pain associated with admitting that they made a bad decision.
2. Cognitive dissonance can cause investors to continue to invest in a security that they already own after it has gone down (average down) to confirm an earlier decision to invest in that security without judging the new investment with objectivity and rationality. A common phrase for this concept is “throwing good money after bad.”
3. Cognitive dissonance can cause investors to get caught up in herds of behavior; that is, people avoid information that counters an earlier decision (cognitive dissonance) until so much counter information is released that investors herd together and cause a deluge of behavior that is counter to that decision.
4. Cognitive dissonance can cause investors to believe “it’s different this time.” People who purchased high-flying, hugely overvalued growth stocks in the late 1990s ignored evidence that there were no excess returns from purchasing the most expensive stocks available. In fact, many of the most high-flying companies are now far below their peaks in price.

In their superb work entitled “Cognitive Dissonance and Mutual Fund Investors,” Professor William N. Goetzmann of the Yale School of Management, and Nadav Peles of J. P. Morgan, examined the tendency of investors to “stick,” irrationally, with struggling mutual funds. Their theory was that cognitive dissonance played a significant role in compelling investors to hold losing fund positions. The researchers theorized that people do not permit themselves to accept new evidence that suggests that it might be time to evacuate a fund because they feel committed to whatever rationale initially inspired the purchase. In 1998, Goetzmann told CNN that investors “are selective about the information they collect about their mutual funds. People